

Global Luxury Goods

Global Luxury Goods: May Swiss watch exports - Base effects drive rebound; underlying recovery remains gradual and fragile



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Swiss watch exports grew marginally by +0.4% YoY in May 2026. Adjusted for calendar effects, however, total exports increased by +10.4%, reflecting two fewer working days in May'26 vs. May'25. The sharp rebound from the -16.6% YoY decline in the prior month was once again driven by the US; excluding the US, total exports declined -1.2% YoY, compared to +3.5% YoY in April 2026, primarily due to a higher comparable base in Mainland China.

Fluctuations in the US comp base continued to drive overall export growth volatility. Exports to the US grew +12.3% YoY in May, as the comp base normalized to -25%, vs. +149% in Apr'25. On a LTM basis, exports to the US declined -19% YoY, a modest improvement from -21% in April 2026. Comparable bases for the US are expected to remain supportive for the remainder of the year, with double-digit negative comparisons, except for July, when prior-year pull-forward shipments resulted in a +45% base.

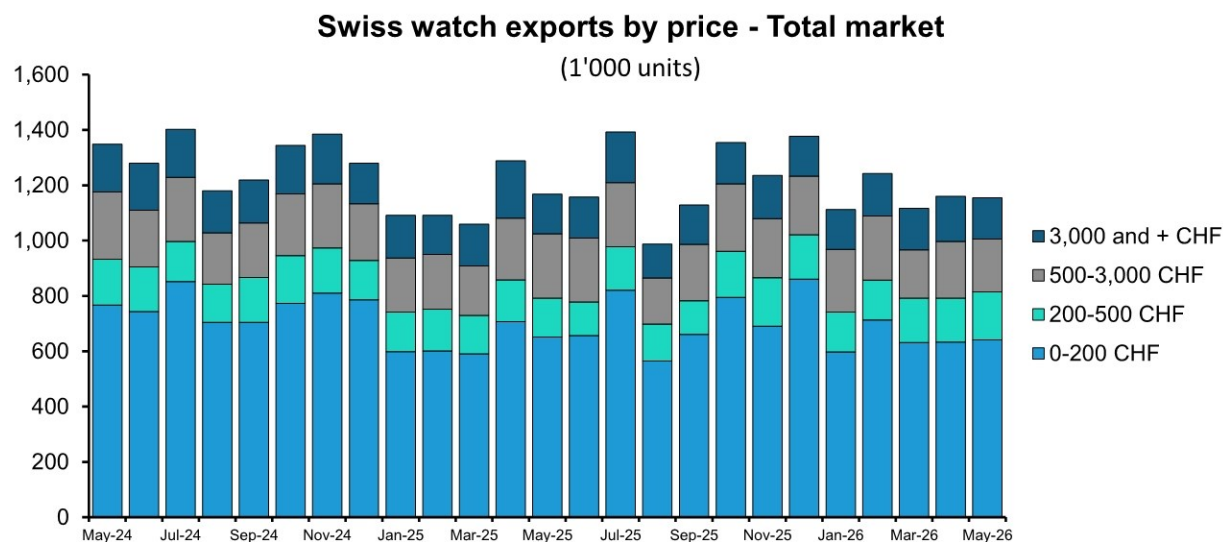
Underlying trends in Greater China remained broadly stable. Exports to HK (+3.4% YoY) and Mainland China (-21.4% YoY) moderated sequentially, largely due to tougher bases. On a LTM basis, exports to Greater China declined -0.9% YoY, continuing the gradual improvement from -1.4% in the prior month. Elsewhere, favorable base effects supported growth in the UK (+24.9% YoY), while exports to France rose sharply (+57% YoY), driven by its role as a logistics hub since Dec'25. In contrast, the Middle East remained weak, with exports to the UAE and Saudi Arabia declining -13.5% and -5.9% YoY, respectively.

Comparable base effects also dominated performance across price segments. Variations in segment performance were largely driven by differences in YoY volume growth, again reflecting base distortions. Watches priced at CHF 200-500 and above CHF 3,000 recorded export value and volume growth of +23.6% and +22.2%, and +3.7% and +3.0%, respectively. In contrast, segments below CHF 200 and between CHF 500-3,000 declined -4.5% and -1.4%, and -17.2% and -17.4%, respectively. On a rolling 12-month basis, overall export volumes increased by +1.2% YoY (vs. 0% in April 2026 and +0.4% in 1Q26), with broadly consistent improvement across all price segments.

By material, comp bases eased across categories, with bimetallic watches showing the strongest growth. Export value for bimetallic watches increased +34% YoY, followed by other metals at +14.7%. In contrast, precious metals, steel, and other materials declined -7.2%, -5.4%, and -16.0% YoY, respectively.

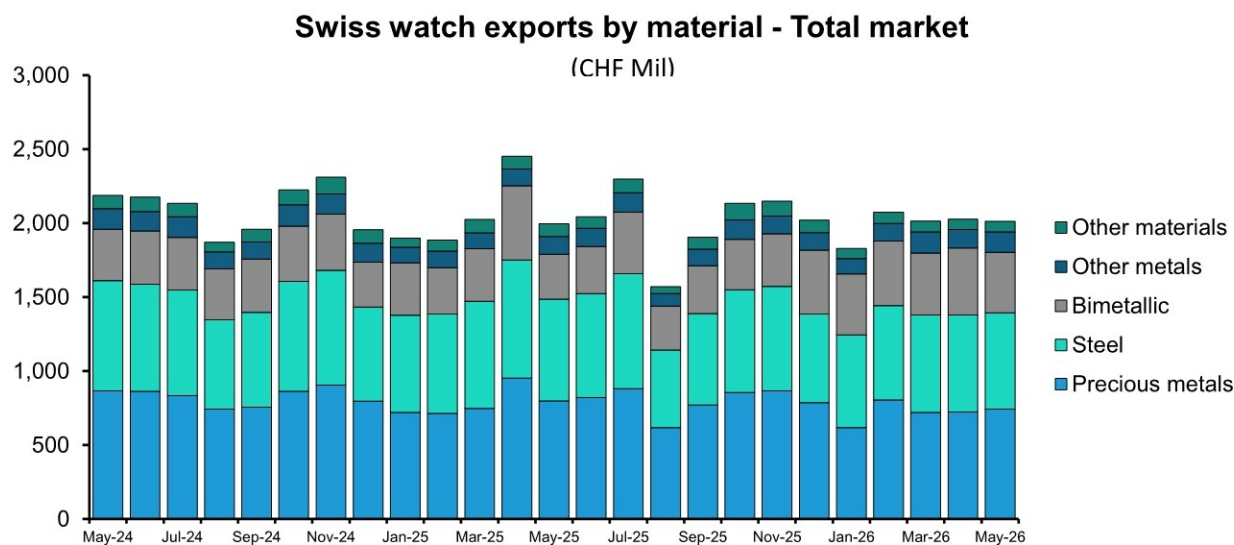
Swiss watch demand remains on track for a gradual recovery, for now. Global export trends continued to recover, with slow and steady improvement in China and resilience in the US, as company commentary suggests that US consumers have taken tariff-related price increases in their stead. The other key risk to watch out for is the development in the Middle East, which was a rare spot of growth in 2025 for the sector. While the short term direct consequences may be limited if the conflict can be quickly resolved, indirect impacts such as reduced travel, higher oil prices/ inflation, and weaker consumer confidence from a drawn-out conflict could threaten early signs of recovery.

EXHIBIT 1: **Exports of Swiss Wristwatches watches by price categories**



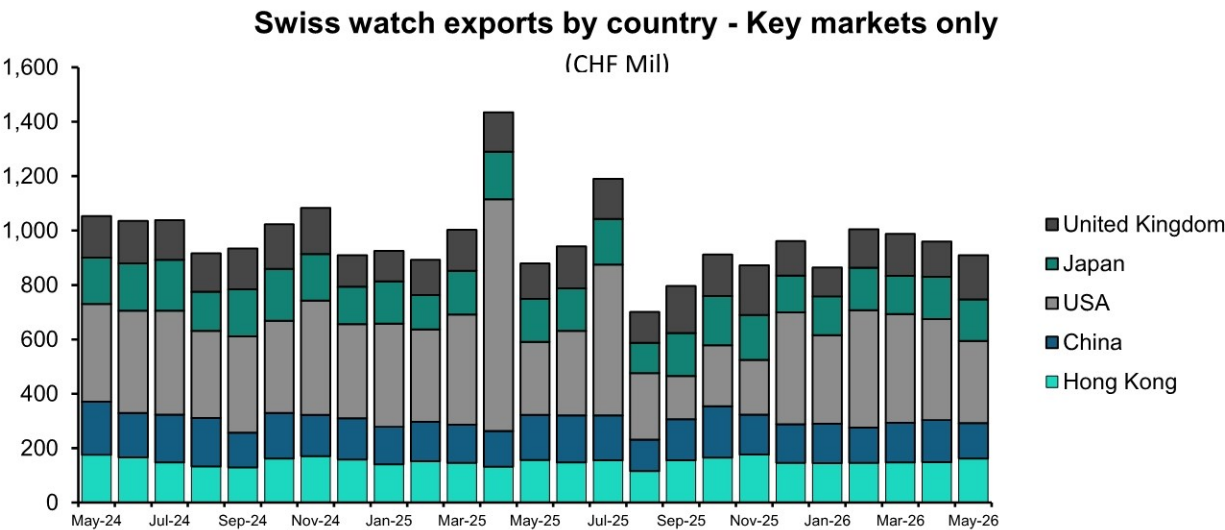
Source: FHS, Bernstein analysis

EXHIBIT 2: **Swiss watch exports by material**



Source: FHS, Bernstein analysis

EXHIBIT 3: **Swiss watch exports by country in absolute numbers**



Source: FHS, Bernstein analysis

INVESTMENT IMPLICATIONS

The trajectory of a recovery in global luxury demand remains uncertain. We find two sources of volatility at play: a) underlying demand gyrations, as consumers navigate a fragile macro-economic environment and a tenser and tenser geopolitical environment; and b) short-term investors playing the sector long and short, amplifying upswings and downswings beyond natural news flow.

In this context of heightened uncertainty, we would take a more defensive posture with a core exposure to plain vanilla:

1) We would prefer high-quality names “at fair value”... **Richemont** is our top preference due to strong jewelry momentum and leadership, with **Brunello Cucinelli** also favored for their quality and potential mean reversion.

2) ...as well as the self-help stories with more promising trajectories. **LVMH** sits between high quality and self-help. Lingering concerns around the W&S turnaround and the Arnault family's 'Darwinian' succession process are counter-balanced by Dior's revival, cost efficiencies, and Louis Vuitton's strength; Turnaround at **Burberry** is well on track. One-year anniversary of the Burberry Forward strategy has paid off, in the form of improved brand momentum and stronger full-price sell-through. With a solid foundation in place, the next leg of turnaround will likely see focus shifting to driving store productivity, by capitalizing on the extended momentum in other categories from the core outerwear & scarf; **Ferragamo** is at the earlier stage of and trading at the lower end of the trading range. Recent conversation with management suggests a possible turnaround in the making, as a team of “old hands” are tackling key issues around the brand, assortment and retail store network.

BERNSTEIN TICKER TABLE

Ticker	Rating	17 Jun 2026			TTM	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
CFR.SW (Richemont)	O	CHF	181.90	200.00	2.1%	EUR	5.96	6.89	7.71	33.2	28.7	25.7
UHR.SW (Swatch)	O	CHF	210.10	180.00	36.8%	CHF	0.03	4.32	8.16	N/M	48.6	25.7
RMS.FP (Hermes)	O	EUR	1,727.50	2,150.00	(43.2)%	EUR	43.12	44.33	52.47	40.1	39.0	32.9
MC.FP (LVMH)	O	EUR	511.00	600.00	(7.6)%	EUR	22.73	22.22	26.71	22.5	23.0	19.1
KER.FP (Kering)	M	EUR	264.90	220.00	25.2%	EUR	4.35	6.66	10.04	60.9	39.8	26.4
BRBY.LN (Burberry)	O	GBp	1,127.50	1,300.00	(13.6)%	GBP	0.24	0.39	0.55	46.2	29.0	20.5
BC.IM (Brunello Cucinelli)	O	EUR	86.78	108.00	(33.0)%	EUR	1.99	2.26	2.65	43.7	38.4	32.7
SFER.IM (Ferragamo)	O	EUR	9.43	8.80	63.4%	EUR	(0.30)	0.04	0.15	(31.9)	251.1	64.3
ZGN	O	USD	13.91	14.00	39.2%	EUR	0.45	0.42	0.60	26.7	28.6	20.0
EDME			1,586.55									
EMLSF			6,357.90									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CFR.SW, BRBY.LN base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

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